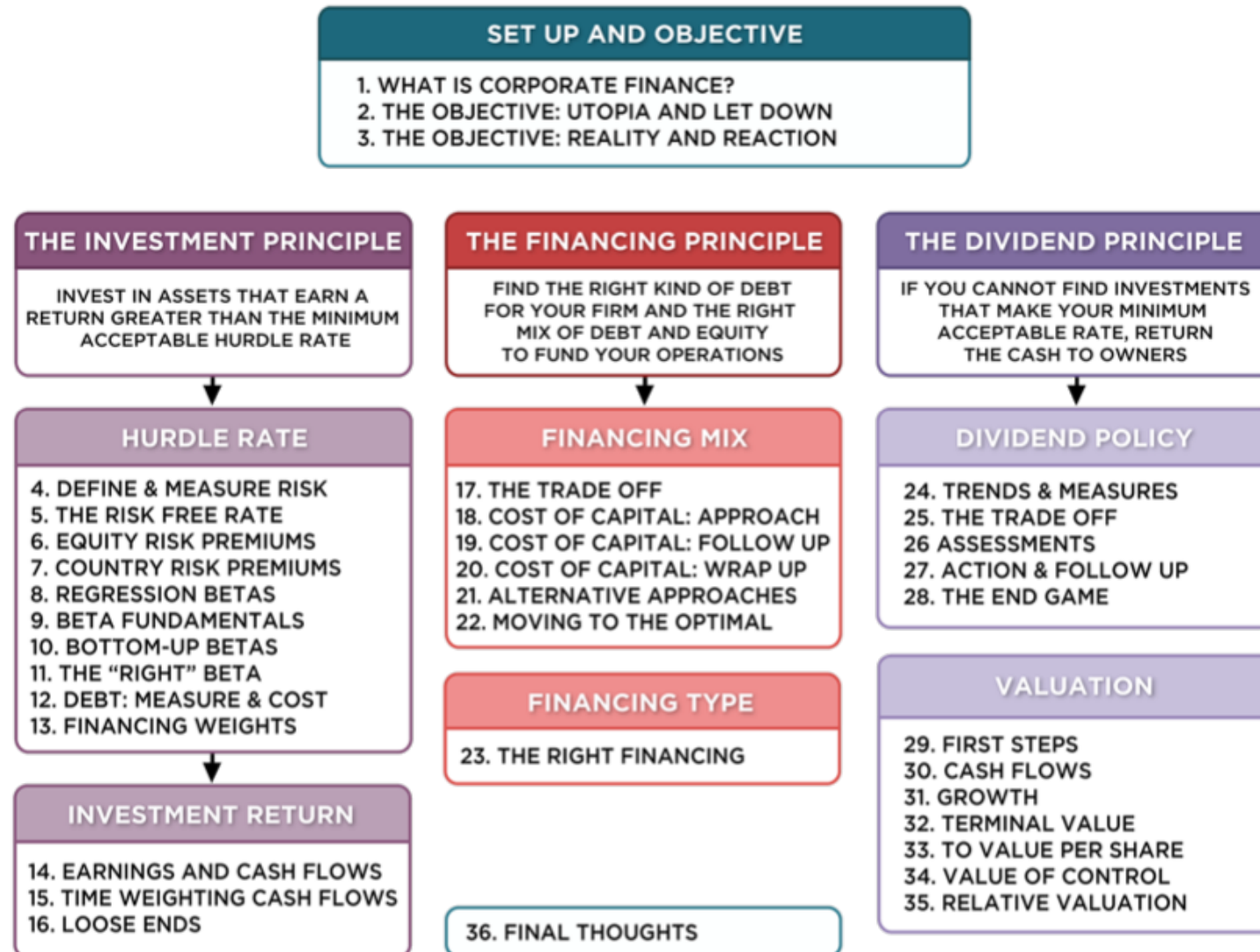


SESSION 36: FINAL THOUGHTS

Alas, it is time to leave.

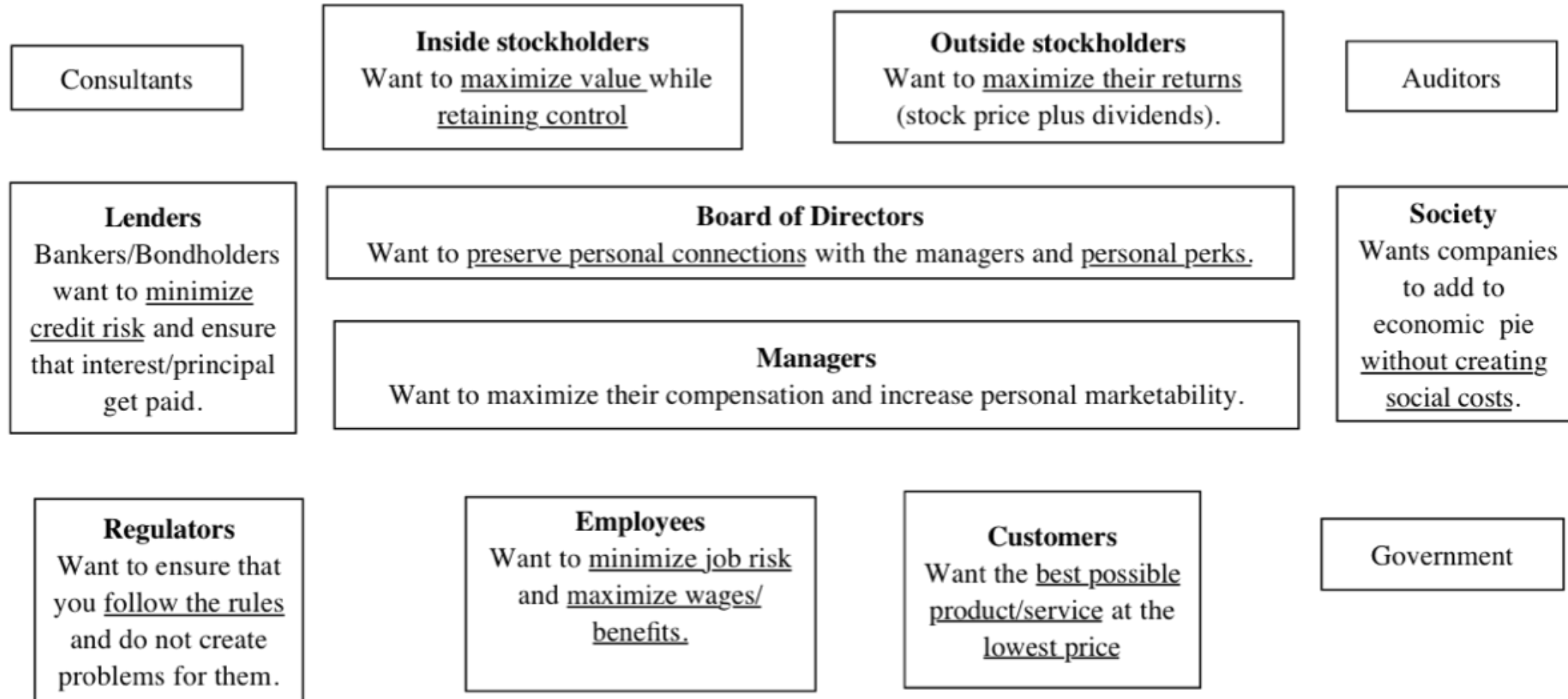
SESSION 36: FINAL THOUGHTS



PONDEROUS THOUGHTS, OR MAYBE NOT

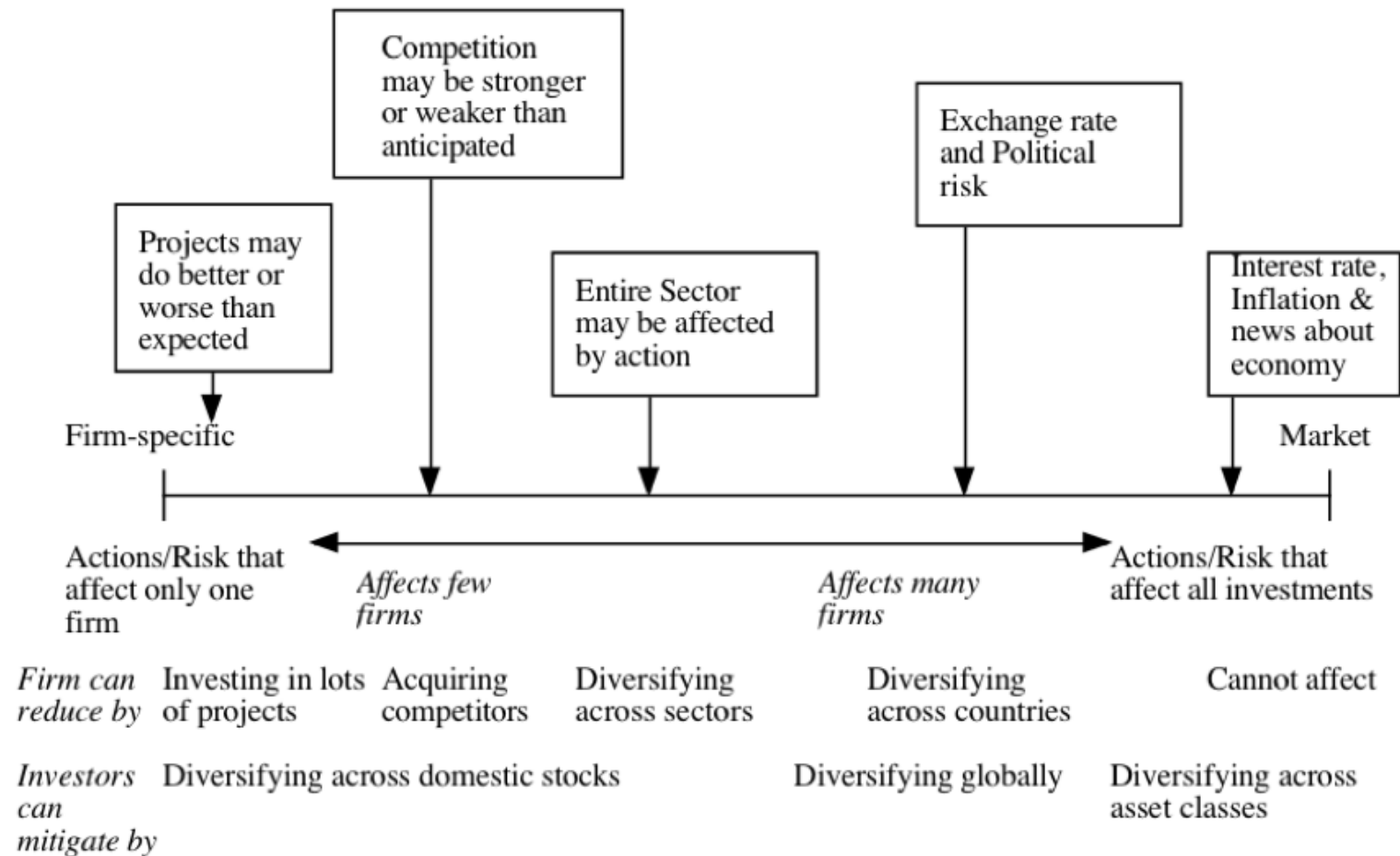
1. There are few facts and lots of opinions.
 - a. Even the givens (cash and risk-free rate) are not
 - b. With accounting and market numbers, all bets are off.
2. The real world is a messy place.
 - a. Money making firms can become money losers.
 - b. Companies can be restructured/given facelifts.
3. Models do not compute values and optimal paths. You do.
4. Change is the only constant.

I. WHAT ARE THE CONFLICTS OF INTEREST?

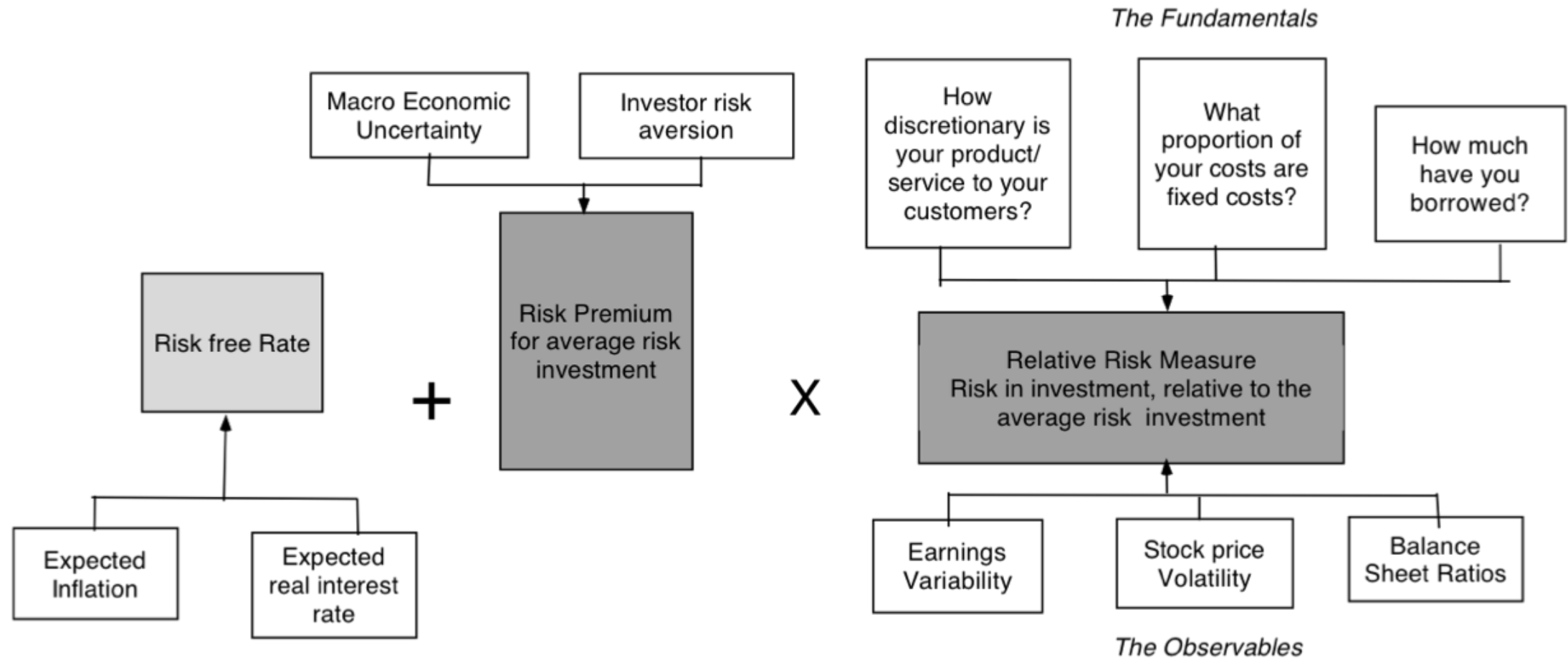


II. RISK AND THE MARGINAL INVESTOR

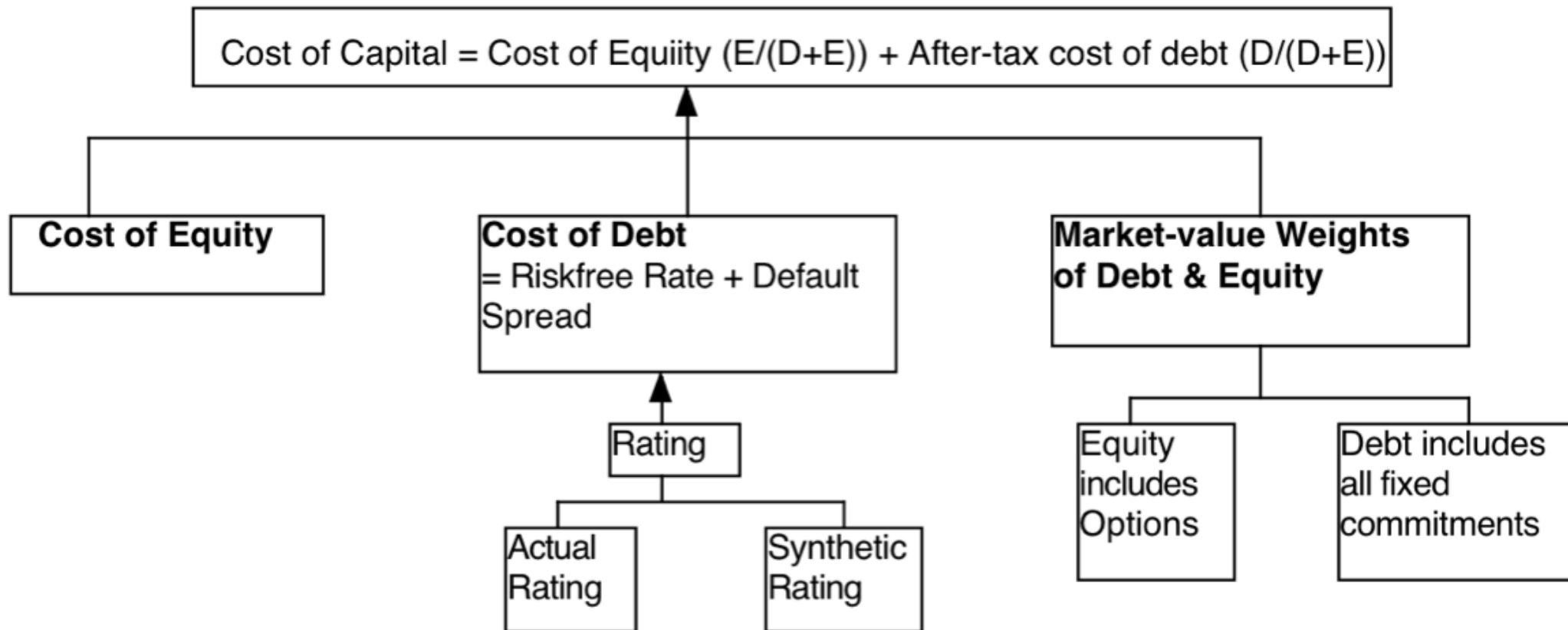
Figure 3.5: A Break Down of Risk



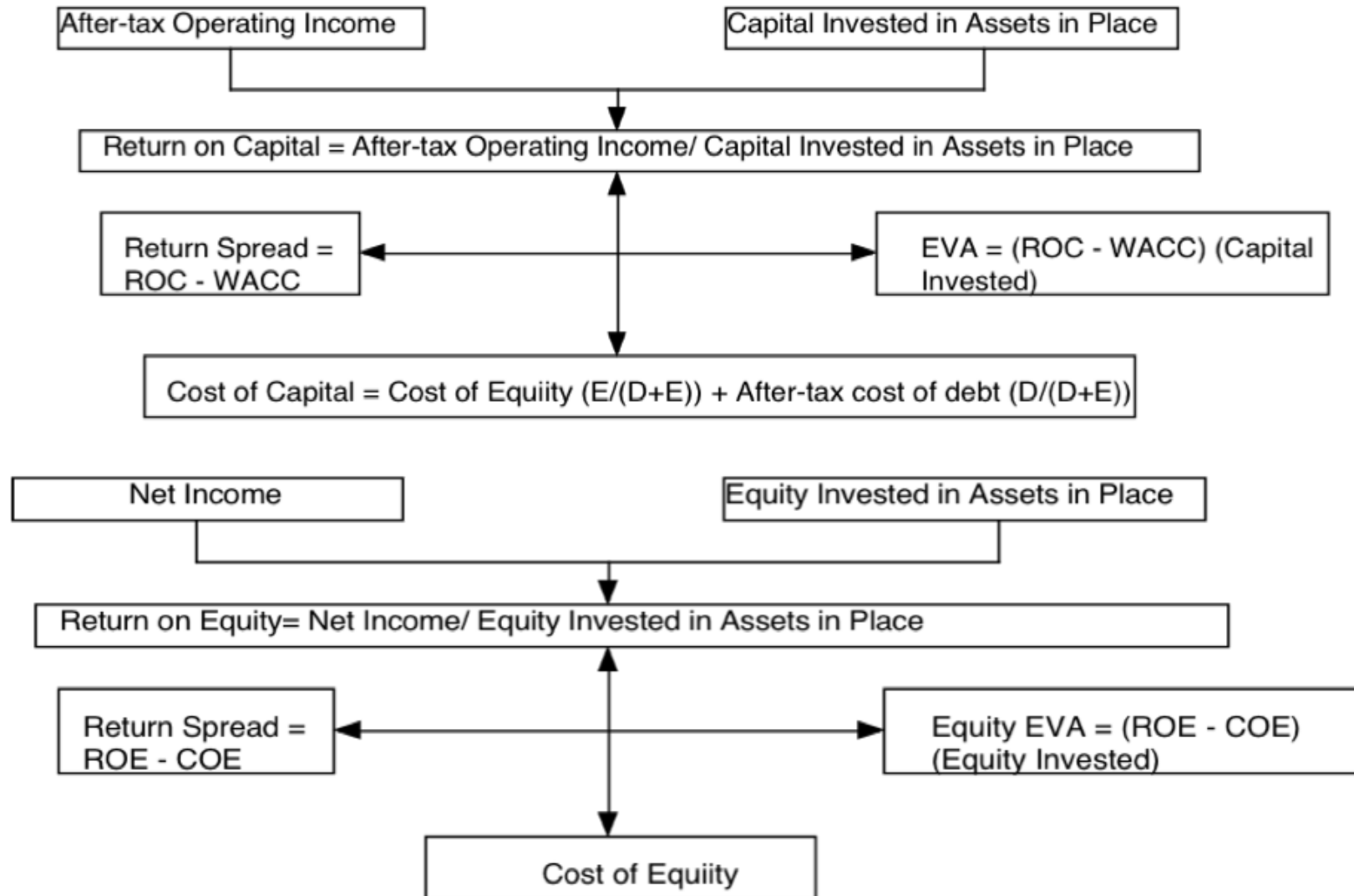
III. RISK PROFILES AND COSTS OF EQUITY



COST OF CAPITAL



IV. THE QUALITY OF INVESTMENTS: THE FIRM VIEW



V. THE TRADE OFF ON DEBT

Advantages of Debt

1. Tax Benefit: Interest expenses on debt are tax deductible but cash flows to equity are generally not.

Implication: The higher the marginal tax rate, the greater the benefits of debt.

2. Added Discipline: Borrowing money may force managers to think about the consequences of the investment decisions a little more carefully and reduce bad investments.

Implication: As the separation between managers and stockholders increases, the benefits to using debt will go up.

Disadvantages of Debt

1. Expected Bankruptcy Cost: The expected cost of going bankrupt is a product of the probability of going bankrupt and the cost of going bankrupt. The latter includes both direct and indirect costs. The probability of going bankrupt will be higher in businesses with more volatile earnings and the cost of bankruptcy will also vary across businesses.

Implications:

- 1. Firms with more stable earnings should borrow more, for any given level of earnings.*
- 2. Firms with lower bankruptcy costs should borrow more, for any given level of earnings.*

2. Agency Costs: Actions that benefit equity investors may hurt lenders. The greater the potential for this conflict of interest, the greater the cost borne by the borrower (as higher interest rates or more covenants).

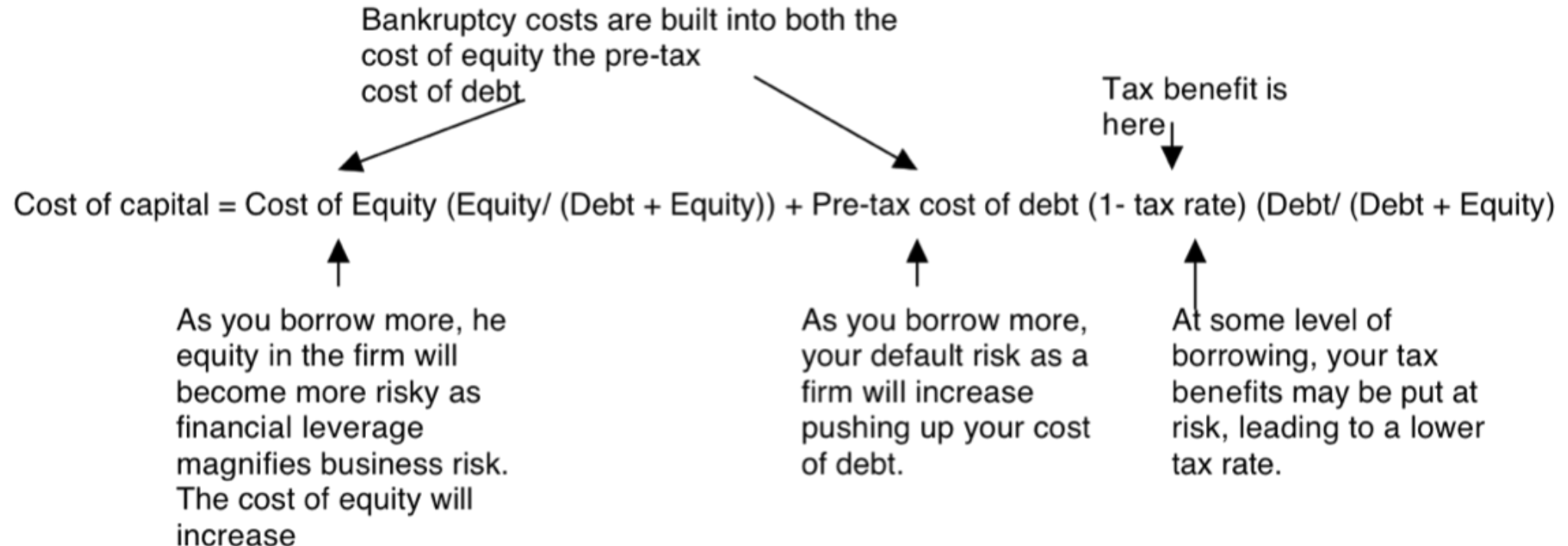
Implication: Firms where lenders can monitor/control how their money is being used should be able to more than firms where this is difficult to do.

3. Loss of Flexibility: Using up available debt capacity today will mean that you cannot draw on it in the future. This loss of flexibility can be disastrous if funds are needed and access to capital is shut off.

Implications:

- 1. Firms that can forecast future funding needs better should be able to borrow more.*
- 2. Firms with better access to capital markets should be more willing to borrow more today.*

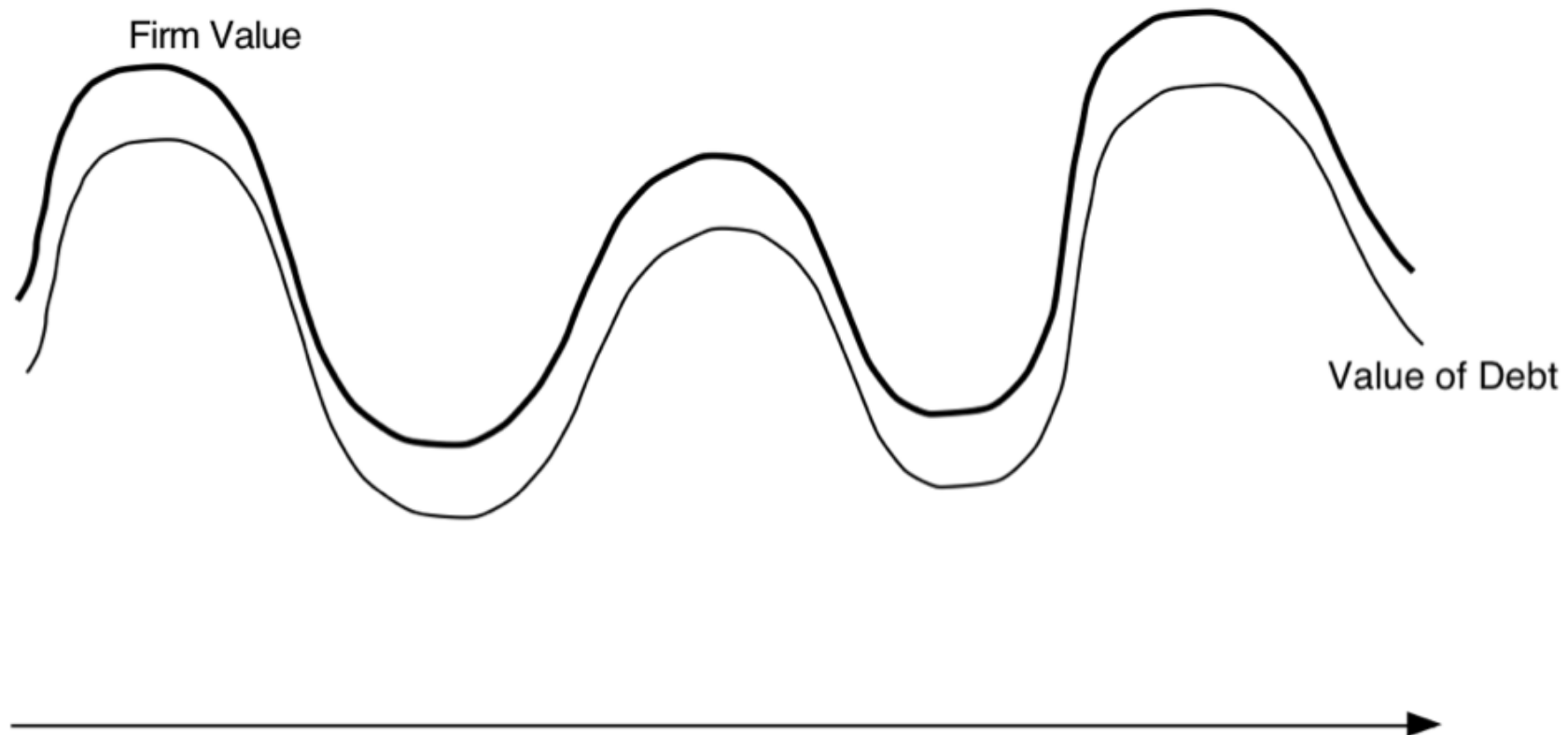
VI. THE OPTIMAL MIX OF DEBT AND EQUITY



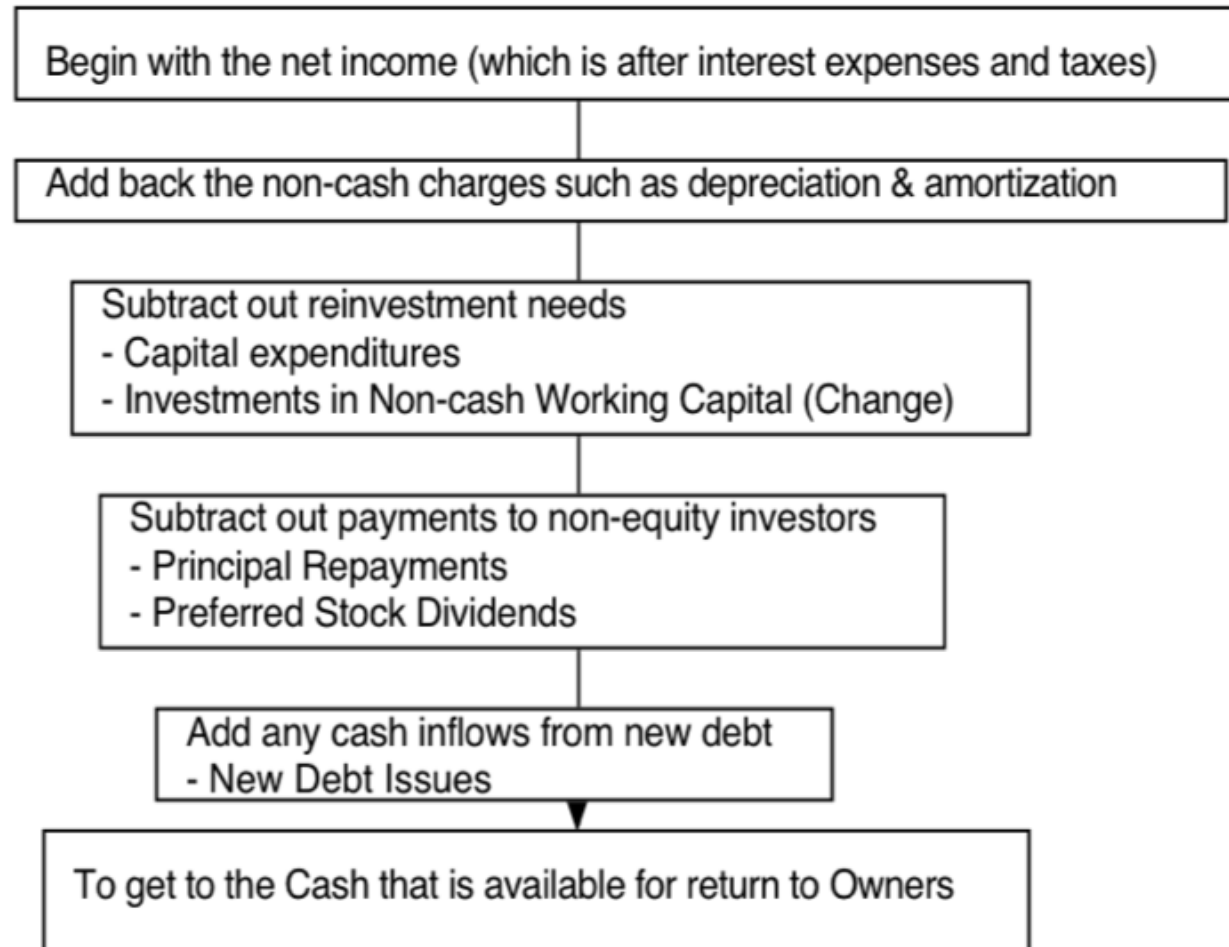
VII. GETTING TO THE OPTIMAL MIX

- How quickly?
 - If under-levered, are you the potential target of a hostile acquisition?
 - If over-levered, are you under threat of bankruptcy?
- How?
 - Recapitalizations: Borrow money and buy back stock, if under-levered, or issue equity and retire debt, if over-levered.
 - Investments: Take investments primarily with debt, if under-levered, or take investments primarily with equity, if over-levered.

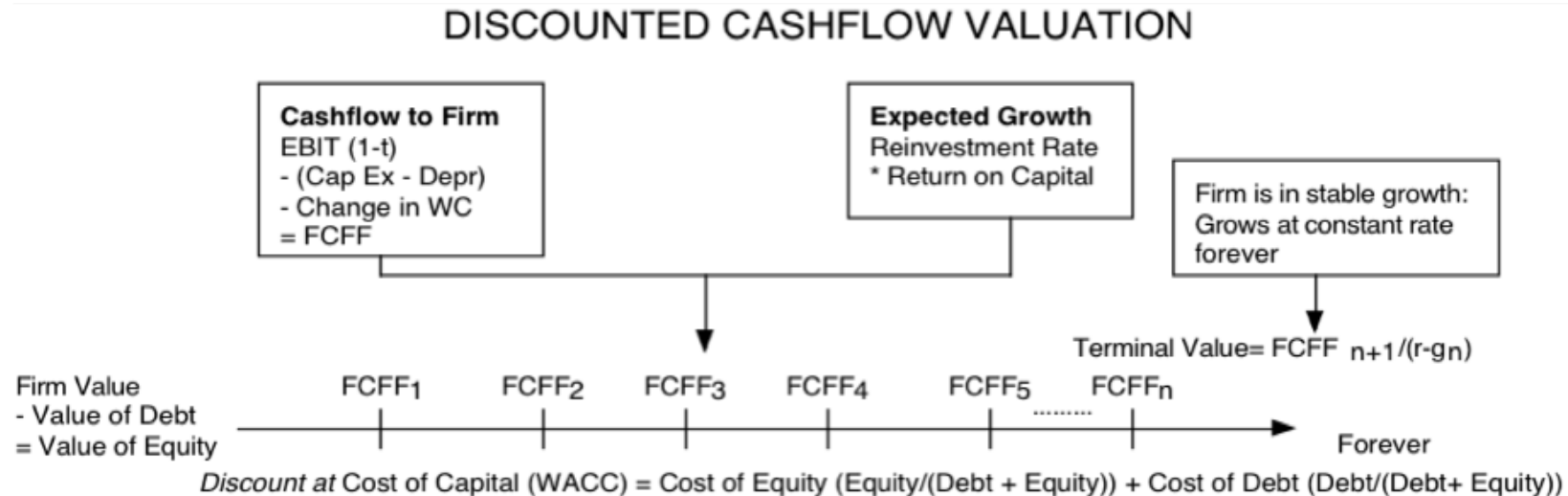
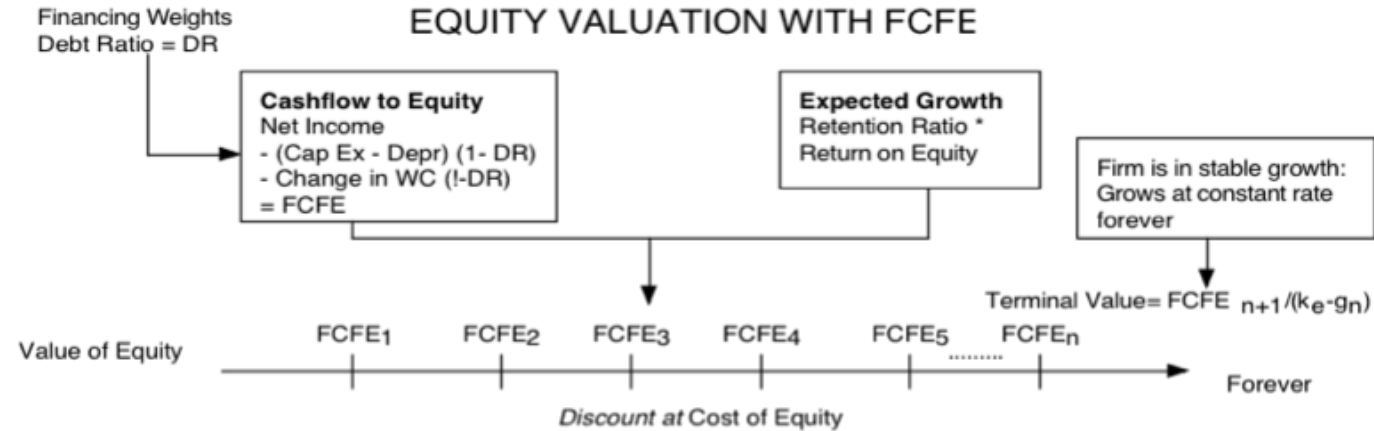
VIII. THE RIGHT KIND OF FINANCING



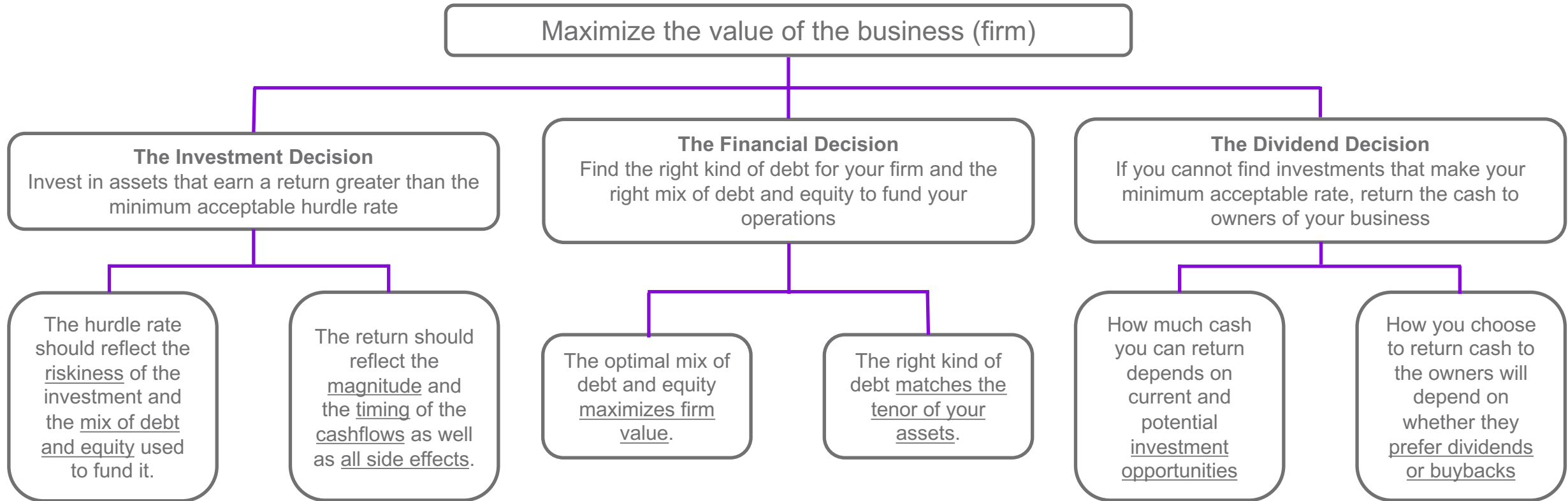
IX. MEASURING POTENTIAL DIVIDENDS



X. VALUATION: MATCH UP CASH FLOWS AND DISCOUNT RATES . . .

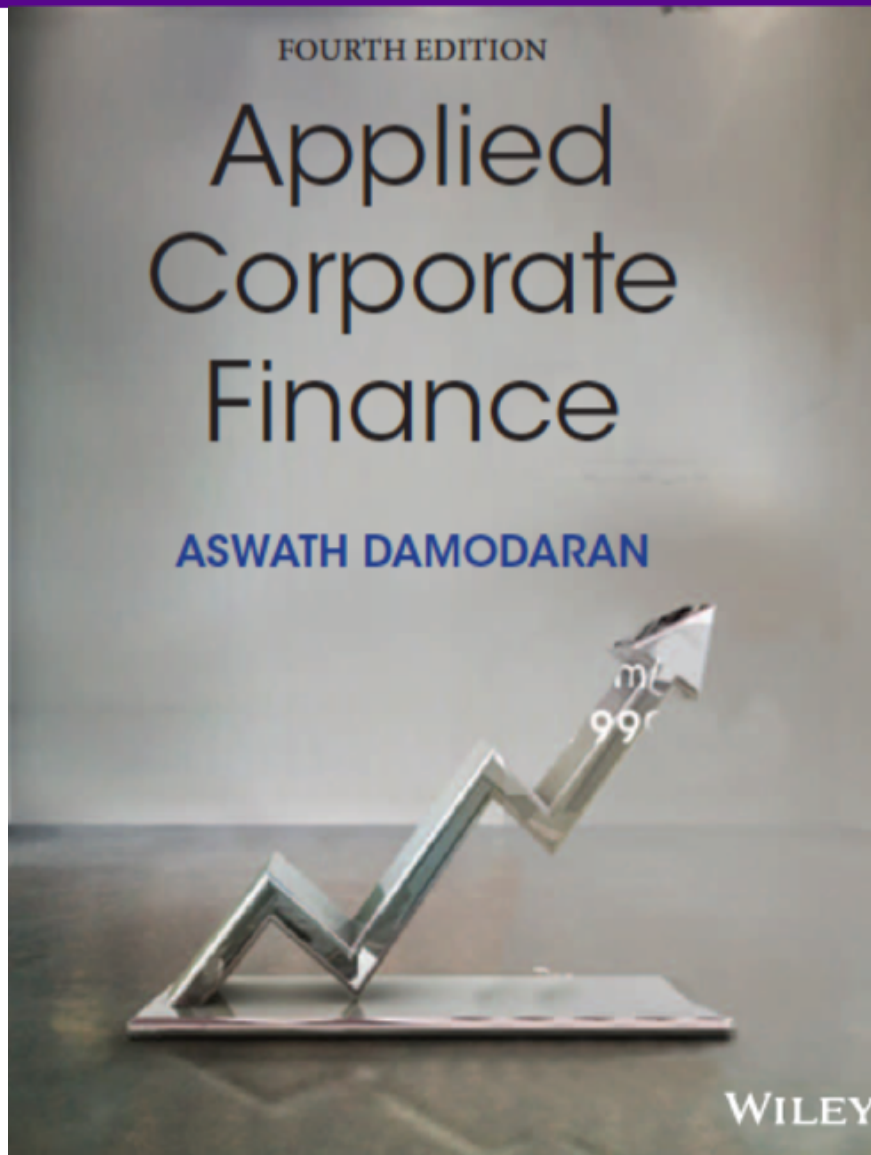


BACK TO FIRST PRINCIPLES



Task

From a first principles standpoint, judge your firm



Optional: Read Chapter 12